INITIAL DECISION RECORD

Fund commitments first. Invest the balance for growth.

Prepared for the 22 October submission | Original case decision date: 31 December 2022

INVESTMENT OBJECTIVE

Pay both non-cancellable nominal commitments from case bonds. Invest the remaining capital in a long-only growth sleeve. Seek at least **USD 8m in December 2022 purchasing power** at 31 December 2030; this is a goal, not a return promise.

INITIAL RESOURCES
$12.000m
unrestricted cash at case date

FIXED PAYMENTS
$6.000m
2024 and 2027; no equity sale

2030 REAL GOAL
$8.000m
measured in Dec 2022 USD

Initial allocation | complete USD 12m funding plan

Use	Holding and payment role	Initial USD
2024 commitment	Beta, 2,400 units; USD 2.400m at maturity	$2,214,672
2027 commitment	Delta, 3,478.26087 units; USD 3.600m final cash flow	$3,429,809
Growth sleeve	100% USMV purchase; equity fee shown separately	$6,346,351
Execution costs	5bp bonds and 10bp equity; planning assumptions	$9,169
Total	Full allocation; no borrowing or residual initial cash	$12,000,000

Beta principal meets the 2024 payment. Delta principal plus its final coupon meets the 2027 payment. Four earlier Delta coupons total **$486,957**; retain them as cash at the 0% base rate. This is contractual cash-flow dedication under the case's no-default assumption, not protection against inflation or an early sale.

31 DEC 2022
USD 12.0m received

31 DEC 2024
USD 2.4m payment

31 DEC 2027
USD 3.6m payment

31 DEC 2030
$8m real goal

Growth allocation | simple implementation, explicit trade-off

RECOMMENDED SLEEVE | 100% USMV

USMV is a US minimum-volatility equity ETF. VTI, a broad-US-market ETF, is the frozen investable benchmark and credible rejected alternative. Neither is principal-protected.

2022-input comparison	USMV	VTI	Sample A=4
CAPM expected return	7.14%	8.45%	7.19%
Annual volatility	12.84%	16.31%	12.70%
Utility at A=4	3.84%	3.13%	3.96%

Why USMV: among the two ETF choices, A=4 ranks USMV above VTI; the pairwise ranking switches near A=2.58. The unrestricted 96-month sample-covariance A=4 optimizer scores only 0.12 percentage point more annual utility than USMV, while changing 34.8% one-way when the window falls from 96 to 60 months. We retain the simpler one-ETF policy; USMV is not presented as the mathematical maximum across all portfolios.

Candidate universe: **AAPL, MSFT, JPM, JNJ, PG, XOM, CAT and NEE** across seven sectors, plus USMV (minimum-volatility) and VTI (broad market). Candidates need not all be held. No additional position caps are imposed. A=4 is provisional and is compared with A=2, 6 and 8.

Risk-preference sensitivity | the assumed A changes the ETF choice

A = 2 | favors VTI
USMV utility 5.49%
VTI utility 5.79%

A = 4 | favors USMV
USMV utility 3.84%
VTI utility 3.13%

A = 6 | favors USMV
USMV utility 2.20%
VTI utility 0.47%

A = 8 | favors USMV
USMV utility 0.55%
VTI utility -2.19%

Utility is an expected-return minus variance preference score, not a forecast of realized returns. At lower A the higher-return, higher-volatility VTI wins this two-ETF comparison; greater aversion penalizes its variance more heavily. A=4 is a chosen working preference, not an industry standard.

INVESTMENT POLICY AND EVALUATION RULE

Set the review rules before seeing the test period.

Governance thresholds are review signals, not automatic trading orders or a loss guarantee

Material assumptions and use

Decision item	Base convention and purpose
Goal and inflation	USD 8m real at end-2030. CPI 2.5% is the primary planning rate: nominal goal $9.747m; 3.0% HEPI is a separate education-cost stress: $10.134m. Sleeve hurdle is 4.84% / 5.37% nominal CAGR, respectively, with four coupons held at 0%.
Return and risk inputs	CAPM scenario: prospective RF 4%, market premium 4.5%, forecast alpha 0. A=4 provisional. Utility = expected annual return - 0.5 x A x annual variance. Historical excess returns use observed monthly French RF; the 4% scenario is not a cash quote.
Risk estimation	Common 96 monthly returns, Jan 2015-Dec 2022; 60-month window and single-index covariance are robustness checks. FF3 explains historical exposures; it is not used to forecast until expected SMB/HML premiums are specified.
Allowed instruments and costs	Cash, case bonds, US common stocks and US-listed US-equity ETFs; long-only, no borrowing, short sales or derivatives. Fractional holdings allowed. Base friction: 5bp bonds / 10bp equity; sensitivity: 0bp bonds, 5bp ETFs, 10bp stocks.

Growth-sleeve risk signals

Proposed for trustee consideration on 21 October 2026. Track peak-to-trough drawdown from unitized total returns, including sleeve cash and adjusting outside flows; do not reset the high-water mark after changing assets. Keep whole-fund stress and payment coverage separate. Month-end academic data do not establish intramonth loss history.

Signal	Required review response
10% drawdown	Within 2 business days: validate prices, distributions, flows, payment coverage, stress and goal funding. No automatic trade.
15% drawdown	Investment Committee meets within 5 business days; document hold, an already-authorized rebalance, or a prospective policy recommendation.
20% drawdown	Notify trustees same or next business day; pause discretionary risk increases pending review. No automatic liquidation.
Any payment gap	Escalate immediately and produce a funded corrective plan, regardless of drawdown level.

UPSIDE RULE | ANNUAL REVIEW

After reserving obligations, test the CPI goal after a separate -30% growth-sleeve shock. If still fully funded, trustees may protect only the minimum amount needed in a permitted, goal-date-matched asset at its actual available price; leave surplus under the growth policy. No fixed-gain sale or automatic spending increase. Implementation and authorization remain prospective.

CRISIS EXCEPTION AND FUNDING-GAP DISCIPLINE

A crisis exception may delay discretionary action only, with written approval, expiry and review; it may not reduce payment coverage. If broad-market conditions weaken goal feasibility, prioritize preservation. If the sleeve lags VTI, diagnose exposures, risk and costs before a prospective change. Do not add risk solely to catch up.

Frozen evaluation and implementation

Freeze USMV and VTI weights as of 31 December 2022. Evaluate monthly total returns from January 2023-December 2025 against VTI, with an annual post-December return review back to original weights and no parameter re-estimation. For a single-ETF sleeve this creates no routine internal trade; changing the ETF is a prospective policy decision. Later returns do not alter the original rationale.

Working files: from the dated package root, run **python analysis/run_initial.py** offline to verify raw-source hashes and rebuild the 96-month inputs, CAPM comparison and utility sensitivities. The original retrieval script is **analysis/retrieve_data.py --phase train**; do not rerun into the preserved raw folder. See **data/DATA_RECORD.md** and **data/raw/retrieval_manifest.jsonl** for dates, settings, versions, units and hashes.

Source and limitation: prices are Yahoo/yfinance adjusted-close histories downloaded in 2026; factors are the original Kenneth French monthly FF3 ZIP. The retrospective histories may be revised; selected survivors do not remove selection bias. Beta and Delta are fictional case instruments, assessed from contract cash flows rather than invented market history. This record is prepared for submission; it is not proof of trustee authorization or upload.